OXFORD ECONOMICS

17 October 2024

Research briefing | UK

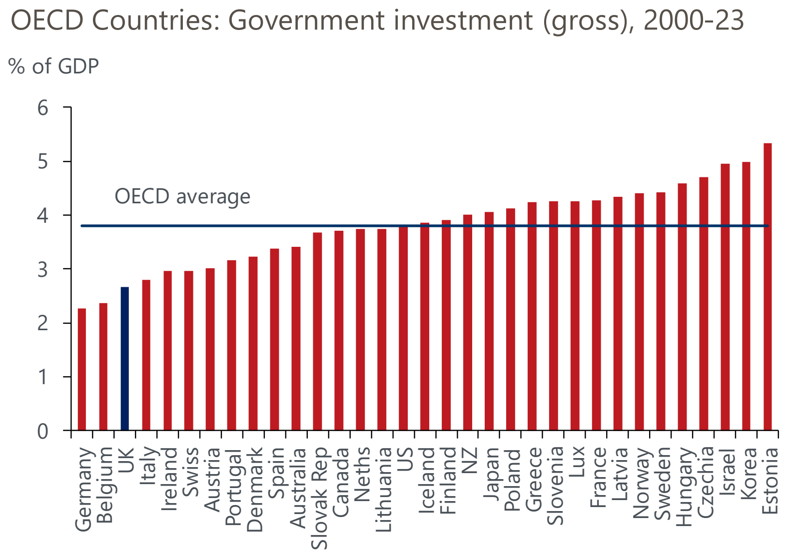
Can PSNW be used for a fiscal rule?

- **The UK government has indicated that it is likely to rewrite the fiscal rules in the upcoming Budget and may put more emphasis on balance sheet measures that capture the value of public assets as well as debts.**
- **We think a greater focus on ensuring that fiscal policy aims to increase public sector net worth (PSNW) over the medium-term would be useful, helping to correct the UK's persistent low levels of public investment. However, under existing methods for valuing public sector assets, it would be risky for the government to lean too heavily on a PSNW target as its central fiscal rule unless it was reinforced by a debt target or investment ceiling.**
- **Under current methodology, debt-funded public investment has no effect on PSNW because it adds equally to assets and liabilities, regardless of whether that investment generates significant economic and social benefits. So, a PSNW target would impose little constraint on the scale and quality of public investment or on the level of the fiscal deficit. If PSNW was the central fiscal target, bond market vigilantes would become more vigilant.**
- **Hence, if the government does shift the balance sheet target in the fiscal rules, we expect it will use public sector net financial liabilities (PSNFL) rather than PSNW. A target to reduce the PSNFL/GDP ratio, combined with one for a current budget surplus (i.e. tax revenues match day-to-day spending, with investment excluded) would allow a sizeable rise in public investment while also creating sufficient constraints to ensure a path to fiscal sustainability. It would also put PSNW on a rising track over time.**

In a recent report, we argued that a shift to a target for UK public sector net financial liabilities (PSNFL) alongside a current balance target could allow public investment to rise markedly within constraints that limit the overall scale of fiscal deficits and debt. Here, we consider the pros and cons of fiscal rules based on a public sector net worth (PSNW) target combined with a current balance target.

Our conclusion is that a PSNFL target is superior and more likely. The government may adopt a secondary target of aiming to increase PSNW over time but is unlikely to make this the anchor for its fiscal rules.

Chart 1: UK public investment has been relatively low compared to other countries



Source: Oxford Economics / Haver Analytics

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What's good about a PSNW target?

A key weakness of the UK's existing fiscal rules, which are based on aiming to reduce public debt and the fiscal deficit, is that they can be met by cutting public investment even if that investment is worthwhile – i.e. it would generate long-term economic and social benefits that exceed its costs. All too often this is what has happened over recent years, during which UK public investment has been among the lowest of advanced economies (**Chart 1**). In turn, this has probably contributed to weak UK productivity growth.

With the aim of promoting higher public investment, the Chancellor has already said that she will shift the deficit target to aim for a current budget surplus (i.e. tax revenues match day-to-day spending, with investment excluded), and has signalled that she is also likely to change the debt rule. The key advantage of using PSNW in the fiscal rules is that it includes the government's assets (both financial and non-financial), and hence cannot be met simply by cutting investment because this would reduce assets and liabilities equally. So a target to increase PSNW over time would reduce the existing bias against investment.

How a PSNW target could work in theory

In judging whether an investment project is viable, the government might consider a narrow approach in which it considers the expected financial returns from that investment, including any fees or charges as well as indirect effects on tax revenues if potential growth rises. If these returns exceed the cost (i.e. the bond yield plus a margin for risk), the project gets the go-ahead.

Or – and this is usually the case in the UK – it might take a broader approach, judging whether the broader economic and social benefits, possibly including less tangible benefits such as environmental effects, exceed the cost at prevailing bond yields.

For example, the OBR recently estimated that on average public investment has a narrow fiscal rate of return of 1.9% in real terms, and a real economic rate of return (but not counting any social or environmental benefits) of 8.7%. In both cases, the constraint would be that at higher yields, projects do not deliver an adequate return and hence investment would be constrained.

If the valuation of public sector non-financial assets in PSNW was based on either of these measures, with future returns discounted using bond yields, then a PSNW target could be a very useful fiscal rule. Public investment that generates a return (either in narrow fiscal terms or in broad economic and social terms) that exceeds bond yields would add to PSNW. There would be a direct and visible link from judgements over whether investment projects are viable to the PSNW target. A target to raise PSNW would encourage the government to implement productive investment, while also constraining the government from green-lighting investment when the expected benefits are less than the costs.

Why this does not work in practice

However, while PSNW is a useful measure and deserves more focus, we believe in practice it would be risky to scrap the debt target and rely only on a PSNW target (along with a current balance rule) for the fiscal rules.

The main problem concerns the measurement of asset values and the returns from non-financial investment in PSNW. Rather than being valued according to their expected benefits (either in narrow or broad terms) discounted using bond yields, in practice non-financial assets in PSNW are valued at replacement cost – i.e. an estimate of how much it would cost to replace the asset in its current condition. In turn, replacement cost is usually measured by the amount spent on the investment, adjusted subsequently for depreciation and any changes in asset values, such as for land.

With this approach, any debt-funded public investment is likely to have little or no effect on PSNW, adding roughly equally to debt and assets. This applies for any level of public investment, and regardless of the level of expected returns (narrow or broad) from that investment. Moreover, the replacement cost of public investment may be very different from its market value – i.e. what it could be sold for if necessary. A PSNW target provides little or no constraint on the level or quality of investment. It could be met with public investment of 1% of GDP, 3% of GDP, or 5% of GDP, with similar levels for the fiscal deficit, given the current balance rule. It could be met with 'bridges to nowhere' or investment that is highly productive.

If, as the Chancellor has said, the UK adopts a current balance target, then a PSNW target without a debt target would impose little or no additional constraint on the level of fiscal deficits, given that fiscal deficits would only reflect investment, which does not affect PSNW. As a result, such a framework would create considerable uncertainty about the future path of public deficits and debt. Meeting a PSNW target would not necessarily ensure the public finances are on a sustainable path, given that it does not require that investment delivers a return that exceeds its costs.

The use of replacement cost accounting in calculating PSNW does not mean that there would be no constraints at all on the quality and quantity of public investment – and hence on fiscal deficits – from a PSNW target. However, the main constraints would be in the government's internal appraisal process (guided by the Treasury Green Book) rather than the PSNW target itself. There would also be a rather weak constraint in that a sustained period of very high fiscal deficits and high bond yields would lift debt service spending enough that the government might miss its current balance target within the OBR's five-year forecast horizon.

However, to external observers, the first constraint would be unknown and invisible. And the effects of any buildup of debt service costs would typically be quite slow to build up, given the relatively long maturity of UK public debt.

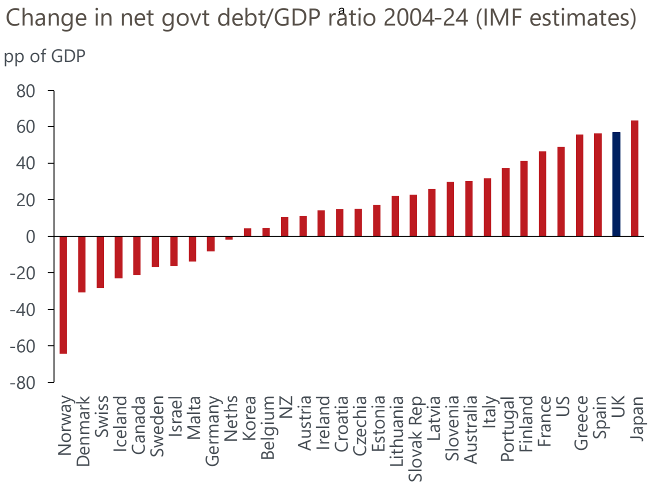
Hence, if the fiscal rules are based on PSNW (and a current balance target), then financial markets would be likely to assume that it will be the level of bond yields rather than the fiscal rules that will constrain public investment and the fiscal deficit. And financial markets would have no real way to determine what level of bond yields and public debt would act as a constraint. Such a framework would be unstable and probably mean that bond market 'vigilantes' would have to be extra vigilant.

These weaknesses in leaning too strongly on PSNW for the fiscal rules should be known by the authorities. A recent IMF study argued that a PSNW target could in theory form the central aim of fiscal policy, provided that public assets are measured "as the net present value of the weighted average of financial and social returns". They warned that "it is important that public capital is not valued by the financial cost of public investment projects." But in practice the "financial cost" is how they are measured. The OBR notes that its replacement cost methodology for PSNW "does not take account of the factors that determine how an asset contributes to fiscal sustainability."

What's a better approach?

Some countries have no fiscal rules, such as Canada and, apart from the oft-raised debt ceiling, the US. However, the UK is probably in a weaker position than those countries. The UK's public debt/GDP ratio is far above Canada's and it lacks the US's key role in global finance. As a smallish open economy that has incurred a sharp rise in public debt over the last 20 years, the UK needs credible fiscal rules to signal that it will steer well within the limits of fiscal sustainability, thereby allowing bond market vigilantes to relax.

Chart 2: The UK public debt/GDP ratio has risen relatively rapidly over the last 20 years



Source: Oxford Economics / Haver Analytics

Given this, a PSNW target (with a current balance target) would be a relatively weak framework. It would probably need to be reinforced by a debt target or a limit on investment spending (e.g. 3% of GDP) to avoid a significant rise in bond yields. In such a framework, the PSNW target would be superfluous.

Better still, and more likely in our view, would be to keep the debt target as a central fiscal rule, but shift it to PSNFL rather than a balance sheet aggregate such as PSNW. The government might also introduce a supplementary and secondary aim of improving PSNW over 5-10 years to reinforce its commitment to higher public investment. But, in practice, such a PSNW target would usually be met if there is a current balance rule and PSNFL target.

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